DATED 8 APRIL 2026

**(1) HARROW PRECISION ENGINEERING LIMITED**

and

**(2) CALDERWATER UTILITIES LIMITED**

# MASTER MANUFACTURE AND SUPPLY AGREEMENT

**(EXECUTION VERSION)**

relating to the supply of pump sets, spares and associated services

**Whitfield Carter LLP**
22 Bishopsgate, London EC2N 4BQ

## MASTER MANUFACTURE AND SUPPLY AGREEMENT

**THIS AGREEMENT** is made on 8 April 2026

**BETWEEN:**

(1) **HARROW PRECISION ENGINEERING LIMITED**, a company incorporated in England and Wales (registered number 03487612) whose registered office is at Brookfield Works, Ashworth Road, Trafford Park, Manchester M17 1RJ (the "Supplier"); and

(2) **CALDERWATER UTILITIES LIMITED**, a company incorporated in England and Wales (registered number 06621104) whose registered office is at Calderwater House, Tannery Lane, Leeds LS10 1AB (the "Customer"),

each a "party" and together the "parties".

**BACKGROUND**

(A) The Supplier designs, manufactures and supplies centrifugal and submersible pump sets, control equipment and related spares, and provides associated commissioning and maintenance services.

(B) The Customer is a statutory water and sewerage undertaker which operates clean-water and wastewater treatment assets and requires a reliable long-term source of pump sets, spares and services for its capital and maintenance programmes.

(C) The Customer wishes to appoint the Supplier as a supplier of the Goods and Services, and the Supplier has agreed to supply the Goods and Services, on the terms and subject to the conditions of this Agreement.

**IT IS AGREED** as follows:

### 1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement, unless the context otherwise requires, the following definitions apply: "Charges" means the charges payable by the Customer for the Goods and Services calculated in accordance with clause 7 and Schedule 3; "Commencement Date" means the date of this Agreement; "Contract Year" means each consecutive period of 12 months beginning on the Commencement Date; "Goods" means the pump sets, control equipment, spares and other goods described in Schedule 1 and ordered under a Purchase Order; "Good Industry Practice" means the exercise of that degree of skill, diligence and prudence which would reasonably be expected from a skilled and experienced supplier engaged in the manufacture of equipment of the relevant type; "Purchase Order" means a written order for Goods or Services placed by the Customer under and in the form set out in Schedule 4; "Services" means the commissioning, testing, maintenance and call-out services described in Schedule 2; "Service Levels" means the service levels and delivery lead times set out in Schedule 2; "Specification" means the technical specification for the Goods set out in Schedule 1; and "VAT" means value added tax.

1.2 Clause, schedule and paragraph headings do not affect interpretation. A reference to a statute or statutory provision is a reference to it as amended or re-enacted. Words in the singular include the plural and vice versa. Any words following "including" or "in particular" are illustrative and do not limit the words preceding them.

1.3 In the event of any conflict between the clauses of this Agreement and a Schedule, the clauses prevail; and in the event of any conflict between this Agreement and a Purchase Order, this Agreement prevails (and any printed terms on a Purchase Order or acknowledgement are of no effect).

### 2. APPOINTMENT AND TERM

2.1 The Customer appoints the Supplier as a supplier of the Goods and Services on a non-exclusive basis, and the Supplier accepts the appointment, on the terms of this Agreement.

2.2 This Agreement begins on the Commencement Date and, unless terminated earlier in accordance with its terms, continues for a period of five (5) years (the "Initial Term").

2.3 The Customer may extend the Initial Term for up to two further periods of 12 months each by giving the Supplier not less than six (6) months' written notice before the end of the Initial Term or the relevant extension. The terms of this Agreement apply during any extension.

## 3. ORDERING AND CALL-OFF

3.1 The Customer may order Goods and Services by issuing Purchase Orders during the Term. Each Purchase Order is an offer by the Customer to purchase the Goods or Services specified in it on the terms of this Agreement.

3.2 A Purchase Order is deemed accepted when the Supplier issues a written acknowledgement, at which point a contract for the supply of the relevant Goods or Services comes into existence incorporating the terms of this Agreement (each a "Call-Off Contract").

3.3 The Customer may by written notice amend or cancel a Purchase Order before the Supplier has commenced manufacture, in which case the Customer shall pay the Supplier's reasonable costs incurred and irrevocably committed up to the date of cancellation.

## 4. MANUFACTURE, SPECIFICATION AND QUALITY

4.1 The Supplier shall manufacture and supply the Goods in accordance with the Specification, this Agreement and all applicable laws, and shall perform the Services with reasonable skill and care and in accordance with Good Industry Practice.

4.2 The Supplier shall ensure that the Goods are free from material defects in design, materials and workmanship, are fit for any purpose made known to the Supplier in writing, and comply with the Specification and any applicable standards identified in Schedule 1.

4.3 The Supplier shall carry out factory acceptance testing in accordance with Schedule 2 before despatch, and shall provide the Customer with the relevant test certificates and the Supplier's standard operation and maintenance documentation with each delivery.

## 5. DELIVERY, TITLE AND RISK

5.1 The Supplier shall deliver the Goods to the delivery location and by the delivery date specified in the relevant Purchase Order, in accordance with the lead times in Schedule 2. Time of delivery is not of the essence unless the parties agree otherwise in writing in a Purchase Order.

5.2 If the Supplier fails to deliver conforming Goods by the agreed delivery date, the Supplier shall pay the Customer liquidated damages at the rate of 0.5% of the price of the late Goods for each complete week of delay, up to an aggregate maximum of 10% of the price of the late Goods. Such liquidated damages are the Customer's sole and exclusive remedy for delay in delivery.

5.3 Risk in the Goods passes to the Customer on delivery. Title to the Goods passes to the Customer on the later of delivery and payment in full of the price of those Goods.

5.4 The Customer shall inspect the Goods on delivery and shall be deemed to have accepted them unless it gives written notice of rejection within 10 Business Days of delivery (or, for defects not reasonably apparent on inspection, within the warranty period under clause 9).

## 6. MINIMUM VOLUME COMMITMENT

6.1 The Customer commits to place Purchase Orders with the Supplier with an aggregate value of not less than £3,500,000 (exclusive of VAT) in each Contract Year (the "Minimum Commitment").

6.2 If the aggregate value of Purchase Orders placed by the Customer in any Contract Year is less than the Minimum Commitment, the Customer shall pay the Supplier, within 30 days of the end of that Contract Year, a shortfall payment equal to 8% of the difference between the Minimum Commitment and the aggregate value of Purchase Orders actually placed in that Contract Year.

6.3 The Minimum Commitment and any shortfall payment are calculated by reference to the value of Purchase Orders placed (and not cancelled by the Customer other than for the Supplier's default) in the relevant Contract Year, whether or not the Goods have been delivered in that Contract Year.

## 7. CHARGES, PRICING AND INDEXATION

7.1 The Charges for the Goods and Services are the prices set out in Schedule 3 (Pricing). The prices in Schedule 3 are fixed for the first Contract Year.

7.2 With effect from the start of the second and each subsequent Contract Year, the prices in Schedule 3 shall be adjusted in line with the percentage change in the Consumer Prices Index (CPI) published for the month immediately before the relevant anniversary compared with the same index 12 months earlier, provided that the annual increase shall not in any event exceed 4%. The Supplier shall notify the Customer of the adjusted prices at least 30 days before they take effect.

7.3 All amounts payable under this Agreement are exclusive of VAT, which the Customer shall pay at the applicable rate on receipt of a valid VAT invoice.

## 8. INVOICING AND PAYMENT

8.1 The Supplier shall invoice the Customer on or after delivery of the Goods or performance of the Services. The Customer shall pay each valid, undisputed invoice within forty-five (45) days of the date of the invoice, in cleared funds to the account nominated by the Supplier.

8.2 If the Customer fails to pay any undisputed sum by the due date, the Supplier may charge interest on the overdue amount at 4% per annum above the base rate of the Bank of England from time to time, accruing daily from the due date until payment.

8.3 The Customer may withhold payment of any sum it disputes in good faith provided it notifies the Supplier of the disputed amount and the reasons promptly, and pays the undisputed balance by the due date. The parties shall use reasonable endeavours to resolve any disputed amount promptly.

## 9. WARRANTY

9.1 The Supplier warrants that the Goods will, for a period of 24 months from delivery (the “Warranty Period”), conform with the Specification and be free from material defects in design, materials and workmanship.

9.2 If, during the Warranty Period, the Customer gives the Supplier written notice of a defect that constitutes a breach of the warranty in clause 9.1, the Supplier shall at its option and own cost repair or replace the defective Goods, or refund the price of the defective Goods, within a reasonable time.

9.3 The warranty in clause 9.1 does not apply to defects arising from fair wear and tear, the Customer’s failure to operate or maintain the Goods in accordance with the Supplier’s instructions, or any alteration or repair of the Goods by a person other than the Supplier without the Supplier’s approval.

9.4 Subject to clause 11, the remedies in this clause 9 are the Customer’s sole remedies for breach of the warranty in clause 9.1.

## 10. INTELLECTUAL PROPERTY AND INDEMNITY

10.1 All intellectual property rights in the Goods, the designs and the Supplier’s documentation remain the property of the Supplier or its licensors. The Supplier grants the Customer a non-exclusive, royalty-free licence to use the Supplier’s documentation to the extent necessary to operate and maintain the Goods.

10.2 The Supplier shall indemnify the Customer against all losses, damages, liabilities, costs and expenses reasonably incurred by the Customer as a result of any claim that the Customer’s possession or use of the Goods infringes the intellectual property rights of a third party, subject to the limitations in clause 11.

10.3 The indemnity in clause 10.2 does not apply to the extent the claim arises from the Supplier’s compliance with a design or specification supplied by the Customer, or from the Customer’s use of the Goods in combination with other goods not supplied or approved by the Supplier.

## 11. LIMITATION OF LIABILITY

11.1 Nothing in this Agreement limits or excludes either party's liability for death or personal injury caused by its negligence, for fraud or fraudulent misrepresentation, or for any other liability that cannot lawfully be limited or excluded.

11.2 Subject to clause 11.1, neither party is liable to the other, whether in contract, tort (including negligence), breach of statutory duty or otherwise, for any loss of profit, loss of revenue, loss of anticipated savings, loss of business or goodwill, or any indirect or consequential loss, in each case whether or not foreseeable.

11.3 Subject to clauses 11.1 and 11.2, the Supplier's total aggregate liability arising under or in connection with this Agreement, whether in contract, tort (including negligence), breach of statutory duty or otherwise, is limited to £4,000,000 in aggregate, save that the Supplier's aggregate liability under the indemnity in clause 10.2 (intellectual property infringement) shall not exceed £5,000,000. Liquidated damages paid under clause 5.2 count towards this cap.

11.4 Each party shall maintain in force, with a reputable insurer, insurance against its potential liabilities under this Agreement, including (in the case of the Supplier) product liability insurance of not less than £10,000,000 per claim, and shall produce evidence of such insurance on reasonable request.

## 12. TERMINATION

12.1 Either party may terminate this Agreement with immediate effect by written notice if the other party commits a material breach which is irremediable or, if remediable, which it fails to remedy within 30 days of written notice requiring it to do so; or if the other party becomes insolvent or unable to pay its debts within the meaning of section 123 of the Insolvency Act 1986.

12.2 The Customer may terminate this Agreement on 6 months' written notice for convenience after the third anniversary of the Commencement Date, without prejudice to any Call-Off Contract then in existence and to the Customer's obligation to satisfy the Minimum Commitment for the Contract Year in which termination takes effect, pro-rated to the date of termination.

12.3 On termination, the Supplier shall complete and deliver, and the Customer shall pay for, all Goods the subject of a Call-Off Contract in existence at the date of termination, unless the parties agree otherwise. Termination does not affect any accrued rights or liabilities.

## 13. CONFIDENTIALITY

13.1 Each party shall keep confidential the other party's confidential information and shall not use it except for the purposes of this Agreement, save that a party may disclose confidential information to the extent required by law or by a regulatory authority of competent jurisdiction.

13.2 This clause 13 does not apply to information that is or becomes public other than through breach of this Agreement, was lawfully in the receiving party's possession before disclosure, or is independently developed by the receiving party.

## 14. FORCE MAJEURE

14.1 Neither party is liable for any failure or delay in performing its obligations (other than an obligation to pay money) to the extent caused by an event beyond its reasonable control, provided it notifies the other party promptly and uses reasonable endeavours to mitigate the effect. If the event continues for more than 90 days, either party may terminate this Agreement on 30 days' written notice.

## 15. GENERAL

15.1 Assignment. Neither party may assign, transfer or sub-contract any of its rights or obligations under this Agreement without the other party's prior written consent, not to be unreasonably withheld, save that the Supplier may sub-contract manufacture provided it remains responsible for the sub-contractor's performance.

15.2 Entire agreement. This Agreement constitutes the entire agreement between the parties and supersedes all prior discussions, including the heads of terms dated 30 January 2026. Each party acknowledges that it has not relied on any statement not set out in this Agreement.

15.3 Variation. No variation of this Agreement is effective unless it is in writing and signed by or on behalf of each party.

15.4 Notices. Notices must be in writing and delivered by hand, by pre-paid first-class post or by email to the address of the relevant party set out in this Agreement or as otherwise notified.

15.5 Third party rights. A person who is not a party to this Agreement has no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any of its terms.

15.6 Governing law and jurisdiction. This Agreement and any dispute arising out of or in connection with it are governed by the law of England and Wales, and the parties submit to the exclusive jurisdiction of the courts of England and Wales.

*This Agreement has been entered into on the date stated at the beginning of it.*

| SIGNED for and on behalf of<br>HARROW PRECISION ENGINEERING LIMITED | SIGNED for and on behalf of<br>CALDERWATER UTILITIES LIMITED |
|---|---|
| Signature: Gavin Harrow<br><br>Name: Gavin Harrow<br>Title: Managing Director<br>Date: 8 April 2026 | Signature: Daniel Mercer<br><br>Name: Daniel Mercer<br>Title: Head of Capital Procurement<br>Date: 8 April 2026 |

## SCHEDULE 1 — TECHNICAL SPECIFICATION (SUMMARY)

The full technical specification (HPE_Calderwater_TechnicalSpecification) is initialled by the parties and forms part of this Schedule 1. Principal Goods: HX-200 and HX-300 dry-well centrifugal pump sets; SX-150 and SX-250 submersible wastewater pumps; CP-STD motor control panels, each manufactured to the standards set out in that document.

## SCHEDULE 2 — SERVICE LEVELS AND DELIVERY (SUMMARY)

The Service Levels (HPE_Calderwater_ServiceLevelSchedule) are initialled by the parties and form part of this Schedule 2. Key lead times: HX pump sets 10 weeks; SX pump sets 8 weeks; control panels 8 weeks; emergency P1 call-out attendance within 24 hours.

## SCHEDULE 3 — PRICING (SUMMARY)

Year 1 unit prices and the CPI indexation mechanism (capped at 4% per annum) are set out in the pricing model HPE_Calderwater_PricingAndVolumeModel, initialled by the parties, which forms part of this Schedule 3.

## SCHEDULE 4 — FORM OF PURCHASE ORDER

A Purchase Order shall be substantially in the Customer’s standard form and shall specify the Goods or Services ordered (by reference to Schedule 1 or 2), the quantity, the price (by reference to Schedule 3), the delivery location and the required delivery date.